



# Topics

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- Principles of economics
- Demand-its determinants, changes in its determinants
- Supply-its determinants, changes in its determinants
- Equilibrium- deviations and autocorrection
- Elasticity- types, determinants, calculation, policy effect
- Govt- direct price control, tax, welfare
- Cost- types, cost curves
- Markets- perfect competition, monopoly, monopolistic competition, oligopoly



# Book and grading

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- Book
  - Principles of Economics by Mankiw, N. Gregory
- Grading
  - 50% weightage for midsem exam

# 1

## Ten Principles of Economics

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# How People Make Decisions, #1, Part 1

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## Principle 1: People face trade-offs

- “There ain’t no such thing as a free lunch”
  - To get something that we like, we usually have to give up something else that we also like
- Making decisions
  - Trade off one goal against another



# How People Make Decisions, #1, Part 2

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- Trade offs
  - Students: time for different courses
  - Parents: savings vs consumption
  - Society
    - National defense vs. consumer goods (guns vs. butter)
    - Clean environment vs. high level of income
    - Efficiency vs. equality



# How People Make Decisions, #1, Part 3

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- Efficiency

- Society getting the maximum benefits from its scarce resources
- Size of the economic pie

- Equality

- Distributing economic prosperity uniformly among the members of society
- How the pie is divided into individual slices

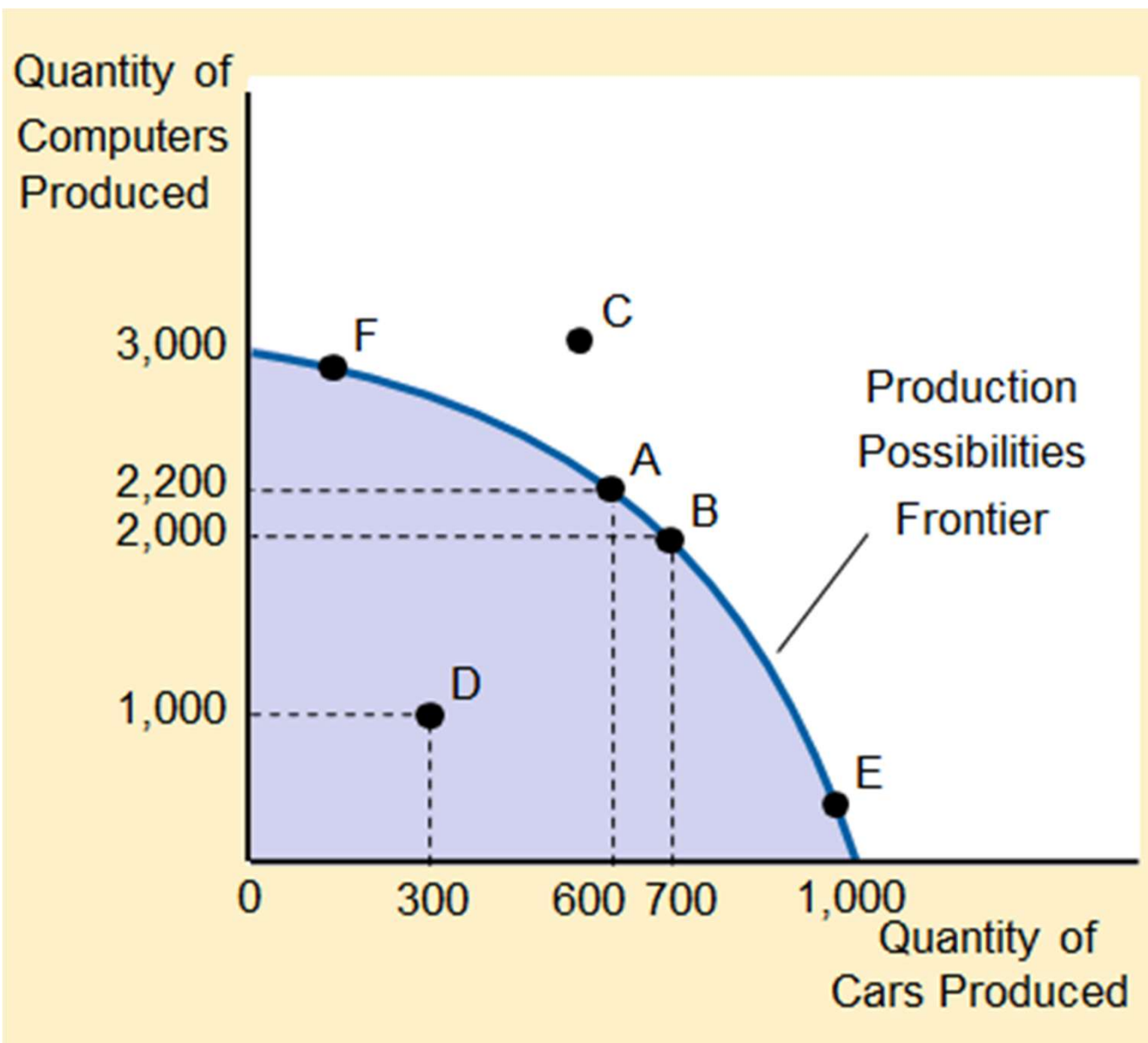


- Production possibilities frontier
  - A graph
  - Combinations of output that the economy can possibly produce
  - Given the available
    - Factors of production
    - Production technology



# Figure 2

## The production possibilities frontier



- The production possibilities frontier shows the combinations of output—in this case, cars and computers—that the economy can possibly produce. The economy can produce any combination on or inside the frontier. Points outside the frontier are not feasible given the economy's resources. The slope of the production possibilities frontier measures the opportunity cost of a car in terms of computers. This opportunity cost varies, depending on how much of the two goods the economy is producing.





# The Economist as a Scientist, Part 9

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- Efficient levels of production
  - The economy is getting all it can from the scarce resources available
  - Points on the production possibilities frontier
  - Trade-off:
    - The only way to produce more of one good
    - Is to produce less of the other good



# The Economist as a Scientist, Part 10

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- Inefficient levels of production
  - Points inside production possibilities frontier
- Opportunity cost of producing one good
  - Give up producing the other good
  - Slope of the production possibilities frontier



# The Economist as a Scientist, Part 11

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- Bowed outward production possibilities frontier
  - Opportunity cost of a car is highest
    - When the economy is producing many cars and fewer computers
  - Opportunity cost of a car is lower
    - When the economy is producing fewer cars and many computers
  - Resource specialization



# The Economist as a Scientist, Part 12

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- Technological advance
  - Outward shift of the production possibilities frontier
  - Economic growth
  - Produce more of both goods

# Figure 3

## A shift in the production possibilities Frontier.....

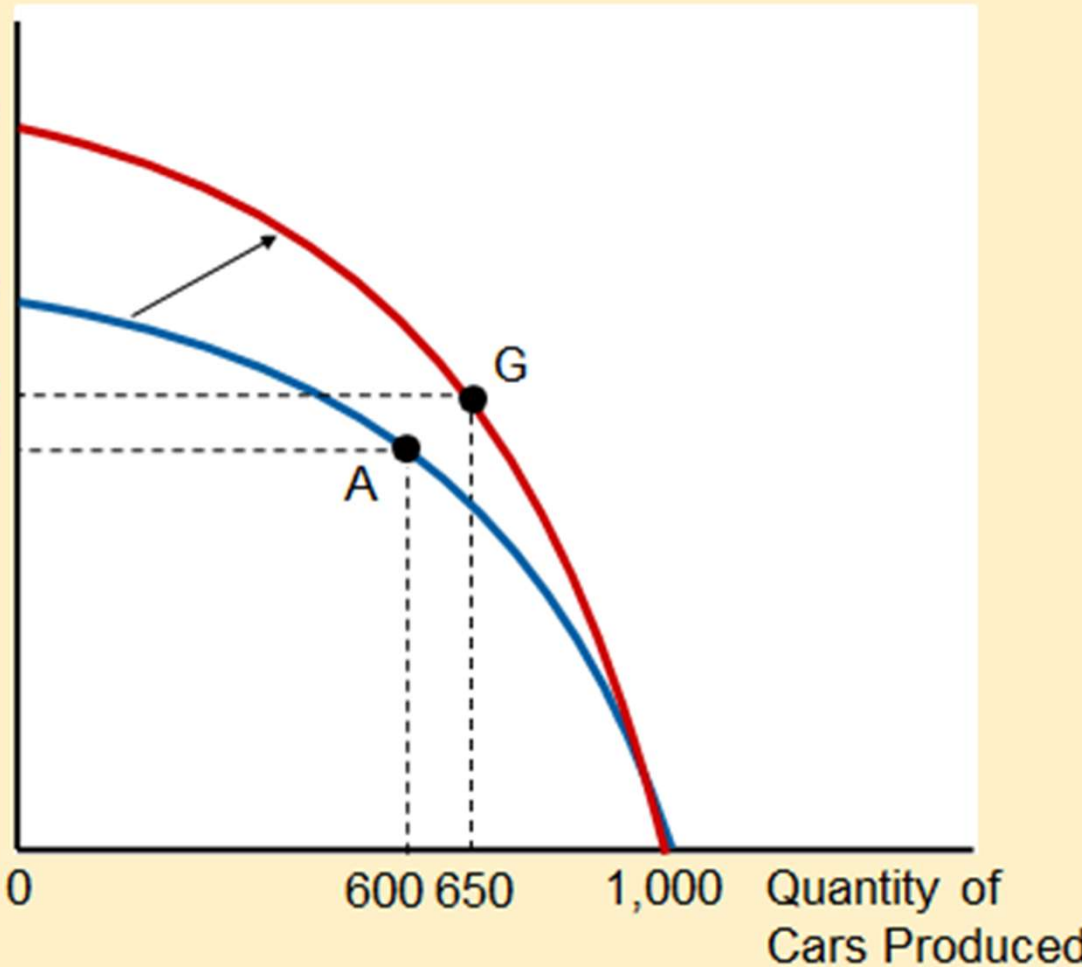
Quantity of  
Computers  
Produced

4,000

3,000

2,300

2,200



•A technological advance in the computer industry enables the economy to produce more computers for any given number of cars. As a result, the production possibilities frontier shifts outward. If the economy moves from point A to point G, then the production of both cars and computers increases.



# How People Make Decisions, #2

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Principle 2: The cost of something is what you give up to get it

- People face trade-offs
  - Make decisions
    - Compare cost with benefits of alternatives
- Opportunity cost
  - Whatever must be given up to obtain some item



# How People Make Decisions, #3, Part 1

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## Principle 3: Rational people think at the margin

- Rational people
  - Systematically and purposefully do the best they can to achieve their objectives
- Marginal changes
  - Small incremental adjustments to a plan of action





# How People Make Decisions, #3, Part 2

- Rational decision maker

- Make decisions by comparing marginal benefits and marginal costs
- Take action only if:
  - Marginal benefits  $>$  Marginal costs



*“Is the marginal benefit of this call greater than the marginal cost?”*





# How People Make Decisions, #4

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## Principle 4: People respond to incentives

- Incentive

- Something that induces a person to act
- Higher price
  - Buyers - consume less
  - Sellers - produce more
- Public policy
  - Change costs or benefits
  - Change people's behavior



# How People Interact, #5

## Principle 5: Trade can make everyone better off

- Trade
  - Allows each person to specialize in the activities he or she does best
  - Enjoy a greater variety of goods and services at lower cost



*“For \$5 a week you can watch baseball without being nagged to cut the grass!”*



# How People Interact, #6, Part 1

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Principle 6: Markets are usually a good way to organize economic activity

- Communist countries, central planning
  - Government officials (central planners)
    - Allocate economy's scarce resources
      - What goods and services were produced
      - How much was produced
      - Who produced and consumed these goods and services



# How People Interact, #6, Part 2

- Market economy, allocation of resources
  - Through decentralized decisions of many firms and households
  - As they interact in markets for goods and services
  - Guided by prices and self-interest



# How People Interact, #6, Part 3

- Adam Smith's "invisible hand"
  - Households and firms interacting in markets
    - Act as if they are guided by an "invisible hand"
    - Leads them to desirable market outcomes
  - Corollary: Government intervention
    - Prevents the invisible hand's ability to coordinate the decisions of the households and firms that make up the economy



# How People Interact, #7, Part 1

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## Principle 7: Governments can sometimes improve market outcomes

- We need government
  - Enforce rules and maintain institutions that are key to a market economy
  - Enforce property rights
  - Avoid market failure



# How People Interact, #7, Part 2

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- Property rights
  - Ability of an individual to own and exercise control over scarce resources
- Market failure
  - Situation in which the market left on its own fails to allocate resources efficiently
  - Externalities
  - Market power



# How People Interact, #7, Part 3

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- **Externality**
  - Impact of one person's actions on the well-being of a bystander
  - Pollution
- **Market power**
  - Ability of a single economic actor (or small group of actors) to have a substantial influence on market prices





# How the Economy as a Whole Works, #8,

## Part 1

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**Principle 8: A country's standard of living depends on its ability to produce goods and services**

- **Productivity**

- Quantity of goods and services produced from each unit of labor input
- Higher productivity
  - Higher standard of living
- Growth rate of nation's productivity
  - Determines growth rate of its average income



# How the Economy as a Whole Works, #8, Part 2

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- Explanation: differences in productivity
- Productivity
  - Quantity of goods and services produced from each unit of labor input
  - Higher productivity
    - Higher standard of living
  - Growth rate of nation's productivity
    - Determines growth rate of its average income



# How the Economy as a Whole Works, #9

## Principle 9: Prices rise when the government prints too much money

- Inflation

- An increase in the overall level of prices in the economy

- Causes for large or persistent inflation

- Growth in quantity of money
    - Value of money falls



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*"Well it may have been 68 cents when you got in line, but it's 74 cents now!"*



# How the Economy as a Whole Works, #10, Part 1

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Principle 10: Society faces a short-run trade-off between inflation and unemployment

# Table 1

## Ten Principles of Economics

### How People Make Decisions

1. People Face Trade-offs
2. The Cost of Something Is What You Give Up to Get It
3. Rational People Think at the Margin
4. People Respond to Incentives

### How People Interact

5. Trade Can Make Everyone Better Off
6. Markets Are Usually a Good Way to Organize Economic Activity
7. Governments Can Sometimes Improve Market Outcomes

### How the Economy as a Whole Works

8. A Country's Standard of Living Depends on Its Ability to Produce Goods and Services
9. Prices Rise When the Government Prints Too Much Money
10. Society Faces a Short-Run Trade-off between Inflation and Unemployment